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Case Number: 24NWCV02052 Hearing Date: August 13, 2026 Dept: C

ALLIANCE OF SCHOOLS FOR

COOPERATIVE INSURANCE PROGRAMS, A CALIFORNIA JOINT POWERS AUTHORITY vs MUNICH

REINSURANCE AMERICA, INC., A DELAWARE CORPORATION DOING BUSINESS IN CALIFORNIA

CASE NO.: 24NWCV02052

HEARING: 8/13/26

at 9:30 AM

#7

TENTATIVE

RULING

I.

Plaintiff Alliance of

Schools for Cooperative Insurance Programs' Motion for Summary Judgment is GRANTED.

II.

Defendant Munich

Reinsurance America, Inc.'s Motion for Summary Judgment is DENIED. Summary Adjudication is DENIED.

Plaintiff to give

NOTICE.

In these cross-motions for summary

judgment, one brought by a reinsured and the other by a reinsurer, the central issue is whether abuse of multiple victims by the same perpetrator should be

treated as a single “occurrence” that is deemed to occur when the first instance of abuse took place. Under the plain language of the coverage documents at issue in this case, the Court determines that the reinsured is entitled to judgment as a matter of law in its complaint against the reinsurer.

BACKGROUND

Plaintiff Alliance of Schools for Cooperative Insurance

Programs (ASCIP) is a California joint powers authority and risk-sharing pool formed under Government Code §6500 et seq. and comprised of member public educational entities and school districts in California. (Complaint, ¶13.) ASCIP provided coverage to the Santa Ana Unified School District (SAUSD) and the Los Gatos Unified School District (LGUSD) from July 1, 2008 to July 1, 2009 under a Memorandum of Coverage (MOC). The MOC is the operative coverage document for ASCIP and its members. (Id., ¶23.) Defendant Munich Reinsurance America, Inc. (Munich Re) is a reinsurer which provided coverage to ASCIP, the reinsured, for losses ASCIP covered. The Reinsurance Agreement issued by Munich Re to ASCIP provided coverage from July 1, 2008 to July 1, 2009. (Id., ¶28.) The Munich Re Reinsurance Agreement provided that Munich Re agreed to follow the terms of ASCIP's MOC, and that the terms of the ASCIP MOC took precedence over Munich Re's Reinsurance Agreement. (Id., ¶35.)

While the

parties differ in their interpretations of the coverage documents at issue, the facts giving rise to coverage are largely undisputed. From February 2009 through May 2009, while teaching at Santa Ana High School in Santa Ana, California, Alex Bassinne (Bassinne) sexually molested a 15-year-old girl, Jane Doe R.M. (Id., ¶9.) Jane Doe R.M. filed suit against SAUSD and Bassinne in the Orange County Superior Court. (Id., ¶10.) SAUSD tendered the Jane Doe R.M. claim to ASCIP for defense and indemnity. ASCIP honored its coverage obligations and defended SAUSD and paid legal fees, costs and expenses. (Id., ¶11.) Bassinne later taught at Villa Fundamental Intermediate School, which is also a part of SAUSD. A separate minor, Jane Doe G.F., alleges that Bassinne was her teacher when she was 12 or 13 years old. Jane Doe G.F. alleges Bassinne raped her in October 2010. (Id., ¶12.) Jane Doe G.F. filed suit against SAUSD and Bassinne in the Orange County Superior Court. SAUSD tendered the Jane Doe G.F. claim to ASCIP for defense and indemnity. ASCIP honored its coverage obligations and undertook SAUSD's defense. (Id.,

¶¶13-14.) ASCIP did not request reinsurance coverage from Munich Re for losses arising from the claim made by Jane Doe R.M. As to Jane Doe G.F., Munich Re denied coverage because Bassinne raped Jane Doe G.F. in 2010, which was outside of the 2008-2009 coverage period. (Id., ¶138.) ASCIP alleges that in response to the Jane Doe G.F. claim, ASCIP has incurred defense costs, including attorneys' fees, court costs and other expenses in the sum of \$376,344.75, and the cost of settlement, totaling \$4,975,000.00, for a total of \$5,351,344.75. Munich Re is required to indemnify ASCIP for these sums, less ASCIP's retention of \$2,000,000, in the total sum of approximately \$3,351,344.75. (Id., ¶157.)

During the 2008 to 2009 school year, while teaching at Blossom Hill Elementary School in LGUSD, Joseph Brian Houg (Houg) bullied, humiliated, harassed and sexually assaulted one of his students referenced as [John Doe C.H.] (Id., ¶17.) During the 2019 to 2020 school year, Houg harassed, bullied and physically and sexually abused another student, referenced as [John Doe A.F.], at Blossom Hill Elementary School in LGUSD. (Id., ¶18.) John Doe C.H. and John Doe A.F. filed suit against LGUSD and Houg in the Santa Clara County Superior Court. LGUSD tendered the claims of John Doe C.H. and John Doe A.F. to ASCIP for defense and indemnity. ASCIP honored its coverage obligations and undertook LGUSD's defense. (Id., ¶21.) Munich Re accepted reinsurance coverage for the John Doe C.H. claim, but it denied coverage for the John Doe A.F. claim because the John Doe A.F. claim arose outside of the 2008-2009 coverage period. (Id., ¶¶45,47.) ASCIP alleges that in response to the John Doe A.F. claim, it has incurred defense costs, including attorneys' fees, court costs and other expenses, in the sum of \$284,998.89, and the cost of settlement of \$900,000.00. ASCIP satisfied its retention through payment of the John Doe C.H. claim. Munich Re is required to indemnify ASCIP for the total sum of \$1,184,998.89. (Id., ¶70.)

Based thereon, ASCIP asserts causes of action for Breach of Contract and Declaratory Relief.

REQUEST FOR JUDICIAL NOTICE

Plaintiff's Request for Judicial Notice is GRANTED pursuant to Evid. Code Sections 452.

EVIDENTIARY OBJECTIONS

Defendant's evidentiary objections to the declarations of John Chino, Stephan Birgel, and Mitchell L. Lathrop are OVERRULED.

LEGAL STANDARD

A party seeking summary judgment has the burden of producing evidentiary facts sufficient to entitle him/her to judgment as a matter of law. (CCP § 437c(c); *Vesely v. Sager* (1971) 5 Cal.3d 153.) The moving party must make an affirmative showing that he/she is entitled to judgment irrespective of whether or not the opposing party files an opposition. (*Villa v. McFerren* (1995) 35 Cal.App.4th 733.)

When a Defendant or Cross-Defendant seeks summary judgment, he/she must show either (1) that one or more elements of the cause of action cannot be established; or (2) that there is a complete defense to that cause of action. (CCP § 437c(p)(2).) When a Plaintiff or Cross-Complainant seeks summary judgment, he/she must produce admissible evidence on each element of each cause of action on which judgment is sought. (CCP § 437c(p)(1).) The Plaintiff/Cross-Complainant is not required to disprove any affirmative defenses to discharge this burden. (*Id.*; *Oldcastle Precast, Inc. v. Lumbermens Mutual Casualty Co.* (2009) 170 Cal.App.4th 554, 564-65.) The opposing party on a motion for summary judgment is under no evidentiary burden to produce rebuttal evidence until the moving party meets his or her initial movant's burden. (*Binder v. Aetna Life Insurance Company* (1999) 75 Cal.App.4th 832.) Once the initial movant's burden is met, then the burden shifts to the opposing party to show, with admissible evidence, that there is a triable issue requiring the weighing procedures of trial. (CCP § 437c(p).) The opposing party may not simply rely on his/her allegations to show a triable issue but must present evidentiary facts that are substantial in nature and rise beyond mere speculation. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151.) As to any alternative request for summary adjudication of issues, such alternative relief must be clearly set forth in the Notice of Motion and the general burden shifting rules apply but the issues upon which summary adjudication may be sought are limited by statute. "A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (CCP § 437c(f)(1).)

The fact that both parties

move for summary judgment does not conclusively establish absence of triable issues of fact. The court must determine the motions independently. (Tahoe Regional Planning Agency v. King (1991) 233 Cal.App.3d 1365, 1375, fn. 1.) Because the court must draw inferences in favor of the opposing party in each case, both cross-motions may be denied. (Aguilar v. Atlantic Richfield Co. (2001) 25 C4th 826, 843.)

DISCUSSION

I.

ASCIP's

Motion for Summary Judgment

ASCIP moves for summary judgment, or in the alternative, summary adjudication. The Court notes that ASCIP includes 22 related issues of fact/law for purposes of summary adjudication; however, Plaintiff fails to address which cause of action and/or affirmative defense each issue attempts to dispose of, as required. (CCP § 437c(f); Oroville Hospital v. Superior Court (2022) 74 Cal.App.5th 382, 399.)

ASCIP argues that Munich Re properly honored reinsurance benefits as to the John Doe C.H. claim, but it wrongfully denied reinsurance benefits as to the Jane Doe G.F. and John Doe A.F. claims. ASCIP argues that under the MOC, the Jane Doe G.F. claim is properly treated as part of a continuing occurrence and causative event with the Jane Doe R.M. claim, and all claims arising from Bassinne's improper conduct are deemed to have arisen when Bassinne first touched Jane Doe R.M. in February 2009. The "first touch" occurred during the coverage term of July 1, 2008 through July 1, 2009. ASCIP adjusted and paid the Jane Doe G.F. claim on that basis. Similarly, under ASCIP's MOC, the John Doe A.F. claim against LGUSD is properly treated as part of a continuing occurrence with the John Doe C.H. claim, and all claims arising from Houg's improper conduct are deemed to have arisen when Houg first touched John Doe C.H. during the 2008-2009 school year. This "first touch" also occurred during the coverage term of July 1, 2008 through July 1, 2009, and all claims against LGUSD were one occurrence during that coverage period. ASCIP adjusted and paid the John Doe C.H. and John Doe A.F. claims on that basis.

In support of its motion,

ASCIP submits evidence of the following:

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It was the standard in the insurance and reinsurance industry to provide coverage for molestation claims by one perpetrator occurring over multiple coverage years as anchored in time and to limits of coverage in one coverage year. That is, the number of occurrences is deemed to be one, based on there being only a single perpetrator of multiple victims at the coverage year of the “first touch” of any victim. (Birgel Decl., ¶ 5; Chino Oppo. Decl. ¶¶ 5-6; Chino Decl. ¶¶ 36-38, 40-44.)

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The ASCIP MOC specifies when an occurrence lasting for more than one coverage term is treated as a single occurrence arising in the coverage year the occurrence began: “Cumulation of Limits: An ‘occurrence’ with a duration of more than one coverage period shall be treated as a single ‘occurrence’ arising during the Coverage period when the ‘occurrence’ begins and under no circumstances shall the fact that said ‘occurrence’ has a duration of more than one coverage period entitle a ‘Covered Party’ to more than one limit of coverage.” (Birgel Decl., ¶ 5.a., Exh. 1.)

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This portion of the MOC is consistent with the Reinsurance Policy: “With respect to Sexual Abuse, in the event of multiple victims of a single perpetrator, the Reinsurer's liability, including the attachment point and limit of coverage shall apply per perpetrator.” (Birgel Decl., ¶ 5.b., Exh. 2.)

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Pursuant to the terms of the Reinsurance Agreement issued to ASCIP, Munich Re agreed to undertake and covenanted to follow Plaintiff's fortunes and settlements as to ASCIP's covered claims against member agencies under the terms of ASCIP's MOC. (Birgel Decl., ¶ 5.B., Exh. 2; Stip. Exh. 2.)

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Under the “follow the fortunes” and “follow the settlements” clauses of the Reinsurance Agreement, Munich Re must accept ASCIP's interpretation of its MOC, and particularly of the

Cumulation of Limits provision regardless of whether that interpretation is correct, unless it can demonstrate that ASCIP was offering gratuitous coverage to its members. (Lathrop Oppo. Decl., ¶18.)

The Court finds that ASCIP has met its prima facie burden of showing that no triable issues of material fact exist. The burden now shifts to Munich Re to raise a triable issue of material fact.

In Opposition, Munich Re argues that the Jane Doe G.F. and John Doe A.F. claims did not occur during the 2008-2009 coverage period. The 2008-2009 MOC “applies only to ‘occurrences’ that take place anywhere in the world during the coverage period of this Memorandum.” (SUMF 6, emphasis added.) The MOC defines “occurrence” as “an accident or event, including continuous or repeated exposure to conditions, which results in bodily injury during the coverage period.” [SUMF 7, emphasis added.] Because Bassinne raped Jane Doe G.F. in October 2010 and Houg sexually abused John Doe A.F. in January 2020, Munich Re has no obligation to reimburse ASCIP for the Jane Doe G.F. and John Doe A.F. settlements. However, this reading of the MOC ignores the plain language of the Cumulation of Limits clause whereby “an ‘occurrence’ with a duration of more than one coverage period shall be treated as a single ‘occurrence’ arising during the Coverage period when the ‘occurrence’ begins.” Thus, the MOC provides for, and the parties agreed to, a limitation of coverage that addresses the circumstances at issue here – multiple incidents spanning a period of years which began during the coverage period. Because Bassinne’s “first touch” involved Jane Doe R.M. in February 2009, the MOC also covers the claim by Jane Doe G.F., even though her claim did not arise until October 2010. Similarly, because Houg’s “first touch” involved John Doe C.H. during the 2008-2009 school year, the MOC also covers the claim by John Doe A.F., even though his claim did not arise until the 2019-2020 school year. Indeed, the Cumulation of Limits clause benefits ASCIP and Munich Re because they avoid covering multiple occurrences in these situations; instead, they cover one occurrence with one set of limits. (Lathrop Decl., ¶17.) Moreover, for every case like this, there will be another case where ASCIP and Munich Re avoid payment for an injury that occurred during the coverage period simply because the perpetrator injured someone else before the coverage period. (Id., ¶13.)

Munich Re argues that ASCIP’s

interpretation of the Cumulation of Limits clause is contrary to California law which holds that a perpetrator's abuse of separate victims constitutes separate "occurrences" for purposes of liability insurance. (State Farm Fire & Casualty Co. v. Elizabeth N. (1992) 9 Cal.App.4th 1232.) In Elizabeth N., State Farm issued a homeowner's policy that included coverage for personal liability to third parties. The insured, who provided child care services, entered into a stipulated judgment which acknowledged that she negligently failed to provide adequate care and supervision for the children. This lack of supervision allowed her husband to molest the children. To be sure, there is language in Elizabeth N. which supports Munich Re's argument. The appellate court affirmed the trial court's ruling that "the insured's acts and omissions were one occurrence under the policy as to each child." (Elizabeth N., supra, at 1234.) However, the appellate court rejected the argument made by appellant children and their families, similar to the one Munich Re makes here, that "the number of occurrences is determined by examining the number of separate, discrete negligent acts or omissions" committed by the insured. Like Munich Re does here, the appellants in Elizabeth N. sought to avoid application of a provision that required all bodily injury damage resulting from "any one accident or from continuous or repeated exposure to substantially the same general conditions" to be considered the result of one occurrence. (Id, at p. 1236.) A nearly identical provision exists in this case: "For the purpose of determining the limit of ASCIP's liability, all damages arising out of continuous and repeated exposure to substantially the same general conditions shall be considered as arising out of one occurrence." (Birgel Decl., Ex. 1, MOC, Section III, Limit of Liability and Territory, Paragraph A.) The Elizabeth N. court found that "[a]dopting appellant's proposition would nullify the clear language of the policy's limit-of-liability clause." (Id., at p. 1238.) The same reasoning defeats Munich Re's argument in this case.

Munich Re also argues that ASCIP's definition of a single "occurrence" would place Houg's abuse of John Doe C.H. and John Doe A.F. in the 2003-2004 coverage period because Hoag was criminally convicted of abusing ten different students beginning in 2003. If that were the case, not only Munich Re owe nothing for the John Doe A.F. claim, but it would be entitled to reimbursement for the coverage it provided for the John Doe C.H. claim. But this overlooks the definition of "occurrence" in the MOC: "Occurrence means an accident or event, including continuous or repeated exposure to conditions, which results in bodily injury or property damage during the coverage period to which this Memorandum

applies, provided that the bodily injury or property damage is neither expected nor intended from the standpoint of the 'Covered Party.'" (Birgel Decl., Ex. 1, MOC, Section VI, Definitions, *italics added*.) The MOC does not apply to a potential loss that has not been presented to one of its members demanding payment for injuries. (Lathrop Decl., ¶11.) Therefore, because there is no evidence of a demand being made relating to Houg before the 2008-2009 coverage period, Houg's abuse of John Doe C.H. remains the "first touch" for purposes of determining coverage under the MOC.

Lastly, Munich Re argues that there is no "follow the fortunes" provision in the 2008-2009 Reinsurance Agreement. To the contrary, the 2008-2009 Reinsurance Agreement provides that Munich Re will reimburse only sums paid by ASCIP "for which it is liable." (SUMF 11.) According to Munich Re, if a reinsurance contract does not contain an express "follow the fortunes" provision, the reinsurer retains the right to assert any coverage defense that might have been available to the reinsured against the insured at the time of the underlying settlement, regardless of whether the insurer availed itself of that coverage defense." (National Am. Ins. Co. of California v. Certain Underwriters at Lloyd's London, 93 F.3d 529, 536 (9th Cir. 1996.). However, ASCIP's insurance and reinsurance expert declares that a principal tenet of reinsurance is the doctrine of "utmost good faith" by reinsurers owed to their insureds. (Lathrop Decl., ¶36.) Reinsurers are bound "to accept the cedent's good faith decisions on all things concerning the underlying insurance terms and claims against the underlying insured: coverage, tactics, lawsuits, compromise, resistance or capitulation." The doctrine insulates a reinsured's liability determinations from challenge by a reinsurer unless they are fraudulent, in bad faith, or the payments are "clearly beyond the scope of the original policy" or "in excess of [the reinsurer's] agreed-to exposure." (Id., ¶37.) This evidence of custom and practice in the insurance industry is unchallenged by Munich Re. As such, it resolves any ambiguity in this provision in favor of ASCIP.

The Court determines that Munich Re has failed to raise a triable issue of material fact.

Accordingly, ASCIP's motion for summary judgment is GRANTED.

II.

Munich Re's Motion for Summary Judgment

In its motion for summary judgment, Munich Re raises the same arguments it made in opposition to ASCIP's motion for summary judgment. Defendant argues that it has no duty to reimburse ASCIP for the Jane Doe G.F. settlement under the 2008-09 Reinsurance Agreement because that settlement was not covered under the 2008-09 Memorandum of Coverage. Similarly, Munich Re has no duty to reimburse ASCIP for the John Doe A.F. settlement under the 2008-09 Reinsurance Agreement because that settlement was not covered under the 2008-09 MOC. Munich Re further argues that even if ASCIP were correct that the abuse of multiple victims by the same perpetrator should be treated as a single "occurrence" that is deemed to occur during the coverage period in which the first instance of abuse takes place (which it is not), this would place John Doe C.H.'s abuse and John Doe A.F.'s abuse in the 2003-04 coverage period because that is when the perpetrator who abused them began abusing other students

For the reasons stated in connection with ASCIP's motion for summary judgment, the Court determines that Munich Re has failed to meet its prima facie burden of showing that no triable issues of material fact exist.

Accordingly, summary judgment is DENIED.

Summary adjudication is also DENIED.